

Credent Asset Management Services Private Limited

Investment Policy

Credent Asset Management Services Pvt. Ltd.

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Disclaimer

In providing a set of principles through which the Credent Asset Management Services Private Limited (Portfolio Manager or “Credent”) intends to manage and make investments, we intend that this document should be for guidance only. Accordingly, this document (“Policy”) is being provided (to the extent permitted by law) without liability. The Policy is not intended to create third party rights or duties.

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INTRODUCTION

Credent Asset Management Services Private Limited (“Credent”) registered with Securities and Exchange Board of India (“SEBI”) bearing registration No INP000006101 as a Portfolio Manager. Credent owes a fiduciary obligation to its investors to act diligently, fairly, and by exercising care. The Regulations require Credent to establish standards of conduct that are fair towards its investors. The private placement memorandum of the Fund, investment management agreement, contribution agreement and trust deed shall collectively be referred to as the “Fund Documents” in case of Fund and the Client Agreement, Disclosure Document in case of Portfolio Manager shall collectively be referred to as the “Disclosure Document”.

As the Portfolio Manager, Credent shall endeavour that the portfolio of the Fund / investors is managed as per the investment objectives and investment strategy of the Fund/ entity and it is in compliance with Fund Documents/ Disclosure Document, regulatory norms and internal policies.

The objective of framing an investment policy is to create a broad framework within which the investment team and all such teams associated with activities related to investment shall operate.

The policy intends to encourage effective communication between all teams / people involved in the decision making and execution process and sets forth the accountability standards.

(ii) **Details of the services being offered: Discretionary, Non-Discretionary and Advisory**

The Portfolio Manager carries on discretionary portfolio management services & advisory services and if opportunity arises thereafter, then it also proposes to render non-discretionary portfolio management services. The above-mentioned services shall be offered to High Net-worth Individuals (including non-resident Indians), Corporates, Hindu Undivided Families, Trusts, Partnerships, Limited Liability Partnerships for investment into the listed and unlisted equity market as per the rules and regulations laid down by SEBI and RBI.

a) **Discretionary Services:**

Under the Discretionary PMS, the choice as well as the timings of the investment decisions rest solely with the Portfolio Manager and the Portfolio Manager can exercise any degree of discretion in the investments or management of assets of the Client. The Securities invested / disinvested by the Portfolio Manager for Clients may differ from Client to Client. The Portfolio Manager's decision (taken in good faith) in deployment of the Client's account is absolute and final and cannot be called in

question except on the ground of fraud, *malafide*, conflict of interest or gross negligence. This right of the Portfolio Manager shall be exercised strictly in accordance with the Applicable Laws in force from time to time, including the Regulations. Periodical statements in respect of the Client's assets under management shall be sent to the respective Clients.

Credent Asset Management Services Private Limited is currently offering PMS under its discretionary investment management service platform, the details of which are set out at Paragraph 5 below.

b) Non - Discretionary Services:

Under the Non-Discretionary PMS, the assets of the client are managed in consultation with the Client. Under this service, the assets are managed as per the requirements of the Client after due consultation with the client. The Client has complete discretion to decide on the investment (quantity and price or amount). The Portfolio Manager inter alia manages transaction execution, accounting, recording or corporate benefits, valuation and reporting aspects on behalf of the Client.

c) Advisory Services

The Portfolio Manager provides investment advisory services, in terms of the regulations, which shall include the responsibility of advising on the portfolio strategy and investment and divestment of individual securities on the Clients portfolio, for an agreed fee structure and for a defined period, entirely at the Client's risk; to all eligible category of Investors who can invest in Indian market including NRIs, FIIs, etc. The Portfolio Manager shall be solely acting as an advisor to the portfolio of the Client and shall not be responsible for the investment / divestment of Securities and / or any administrative activities on the Client's portfolio. The Portfolio Manager shall provide advisory services in accordance with such guidelines and / or directives issued by the regulatory authorities and / or the Client, from time to time, in this regard.

"Credent AIM Multi Cap"

➤ Investment strategy

The investment team looks for stocks with the following characteristics:

- a) Superior return generation over the capital employed over a period of time
- b) Good Management Pedigree & Corporate Governance Standards
- c) Increasing addressable business
- d) Undervalued Opportunities
- e) Business turnaround stories

➤ Type of securities invested in

Equity shares of Listed Companies, liquid/overnight mutual funds, warrants, rights, convertible bonds and other securities as specified by SEBI from time to time.

➤ Basis for choice of benchmark:

○ BSE 500 TRI (as the median and mean of the portfolio are likely to be in the midcap space).

➤ Basis of selection

Combination of Top to Bottom & Bottom up stock picking approach looking at various parameters as outlined above.

➤ Allocation of portfolio

The fund invests predominantly in equities. As of 31st March, 2025, our portfolio was invested, 94.99% in Equity & 5.01% was maintained as Cash and Equivalent.

➤ Sector Focus

○ Sector Agnostic

➤ Our Investment Team

All investing decisions are taken by the investment management team, they inform the execution team at credent asset management with the portfolio allocation details.

“Credent Asset Management Services Pvt Ltd.”

> Investment strategy

- a. Investment Objective: The investment objective is to curate a perfectly diversified & balanced portfolio in order to generate maximum returns and capital appreciation for our investors.
- b. Types of Securities: Our portfolio consists of securities like Equity, Debt Instruments, Security receipts, securities of distressed companies and Mutual Fund.
- c. Basis of selection of securities: We select our securities based on Fundamentals or Technical momentum parameters of the companies, our strategy terms like diversification and balance in the portfolio such that the risk is minimized.
- d. Basis for choice of benchmark: BSE 500 TRI (as the median and mean of the portfolio are likely to be in the midcap space).
- e. Indicative tenure/Investment horizon: The client is expected to invest for at least 3 years.
- f. Risk associated with Investment Approach: We believe the only risk associated with our investment approach is external risk like market & volatility risk. For detailed information on the risks involved, please refer Point 6 - Risk factors.

➤ Allocation of portfolio

Allocation of portfolio across types of securities: As of 31st March, 2025, our portfolio was invested, 77.9% in Equity, 5.06% in ETF, 8.05% in Receivable & 8.45% was maintained as Cash & Equivalent.

➤ Sector Focus Agnostic

> Risks

Please refer to Point 6 on 'Risks Associated' above.

“Mehta Credent Focused Multicap”

➤ **Investment strategy**

The investment team looks for stocks with the following characteristics:

- Achieving good returns on invested capital over time
- Exemplary management and robust corporate governance
- Growing market potential
- Discovering undervalued assets
- Successful business turnarounds

➤ **Type of securities invested in**

Equity shares of Listed Companies, liquid/overnight mutual funds, warrants, rights, and other securities as specified by SEBI from time to time.

➤ **Basis for choice of benchmark:**

- BSE 500 TRI (as the median and mean of the portfolio are likely to be in the midcap space).

➤ **Basis of selection**

Combination of Top to Bottom & Bottom up stock picking approach looking at various parameters as outlined above.

➤ **Allocation of portfolio**

The allocation of the portfolio would be focus towards 20-25 stocks. As of 31st March, 2025, our portfolio was invested, 93.96% in Equity, 0.02% in ETF, & 6.03% was maintained as Cash & Equivalent.

➤ **Sector Focus**

- Sector Agnostic

“Fincart Direct Mutual Fund Strategic Portfolio”

➤ **Investment Objective**

To provide investors with curated, risk-profile-based portfolios by investing in direct mutual fund schemes across equity, debt, liquid and gold categories. The primary aim is to generate optimal risk-adjusted returns by combining strategic asset allocation with fund selection, considering each investor's risk profile, time horizon and liquidity needs.

➤ **Description** of types of securities e.g., equity or debt, listed or unlisted, convertible instruments, etc.

Investments will be made only in **direct plans of SEBI-registered mutual fund schemes** in India, including:

1. Equity mutual funds (Large Cap, Mid Cap, Small Cap, Flexi Cap)

2. Hybrid funds (Aggressive Hybrid, Dynamic Asset Allocation)
3. Debt mutual funds (Short Duration, Corporate Bond, Banking & PSU, Gilt Funds)
4. Other permitted schemes such as Liquid Funds, Overnight Funds, Arbitrage Funds and Gold ETFs

- Basis of selection of such types of securities as part of the investment approach

Mutual fund schemes are selected based on a rigorous selection procedure, that focuses on picking funds that have delivered consistent risk adjusted returns over a long period of time. The screeners used for filtering are:

1. Consistency of Returns
2. Evaluating Risks and Drawdown of the schemes
3. Fund Manager past performance & tenure.
4. Expense Ratio (only direct plans considered)
5. Low stock overlap & portfolio diversification
6. Future outlook of the fund and forward PE.
7. Aligned to client's risk profile.

- Allocation of portfolio across types of securities

The portfolio allocation will be across Equity Funds, Debt, Gold & Liquid / Arbitrage Funds. Within Equity Funds it will be invested across Large, Mid and Small Cap Sectors to ensure optimal diversification and minimal stock overlap.

The exact allocation into Equity, Debt, Cash & Gold will depend upon client's risk profile, time horizon of investments and the liquidity requirements.

Final allocations are reviewed periodically based on market outlook and liquidity needs.

- Appropriate benchmark to compare performance and basis for choice of benchmark

Model benchmarks will be blended indices based on portfolio asset allocation. We are conveying the use of appropriate benchmark using a simple example below. This may not be the exact asset allocation. Hence, the benchmark will be chosen to appropriately reflect the composition of the portfolio, for a fair performance comparison.

Moderate: 50% Nifty 50 TRI + 50% CRISIL Bond Fund Index

- Indicative tenure or investment horizon

Most clients desire returns but have poor understanding of risks. To ensure client centricity and delivering positive client experience we will have few hard coded thumb rule while taking the client money. The below mentioned time horizon will be strictly adhered to.

Conservative: 1–3 years

Somewhat Conservative: 2–4 years

Moderate: 3–5 years

Somewhat Aggressive: 5–7 years

Aggressive: 7+ year